



“The fragile global supply chain, supply side shocks and soaring inflation had a cascading effect on raw material prices. The industry also faced issues of cartelisation and a migrant labour crisis”

Niranjan Hiranandani
MD, HIRANANDANI GROUP;
NATIONAL VICE CHAIRMAN,
NAREDCO



“We have to walk a tight-rope to make sure that the pricing is right, margins are not badly impacted and at the same time, the product remains affordable”

Irfan Razack
CHAIRMAN & MD,
PRESTIGE GROUP



“To sustain the demand, which is also essential to support the economy, the government should announce homebuyer-friendly tax sops in the upcoming Budget”

Pradeep Aggarwal
FOUNDER & CHAIRMAN,
SIGNATURE GLOBAL

or smaller components like PVC materials, windows, doors or tiles, every component has seen prices rise. And so have labour costs,” he says, adding that additionally, the cost of getting approvals has increased, since many larger cities have linked it to the guideline value, which is the estimated market value of the property as per records maintained by the government. “A major dampener is that the interest rates are also going up. So, the cost to consumers has risen significantly,” says Razack.

The recent challenges have placed most developers in a situation where any move they make may adversely impact them. Prestige, for instance, has chosen to keep its customers happy rather than maintain healthy margins. “We have to walk a tightrope to make sure that the pricing is right, margins are not badly impacted and at the same time the product remains affordable so that customers don’t shy away... If demand suffers and sales go down, then we have to go for construction finance,

which would ultimately increase costs and lead to risks of getting stuck in spiralling debt,” says Razack.

According to Ramesh Nair, Chief Executive Officer, India and MD, Market Development, Asia at Colliers, the cost of construction materials would remain volatile in 2023 and the future looks less certain than in 2022. Realtors say another 5-10 per cent hikes in home prices are likely because of the elevated prices of commodities. Therefore, developers may opt for a wait-and-watch strategy till prices cool, says Nair, which may, in turn, impact the supply of homes. As a result, prices of existing projects on offer may go up, even if the demand for homes goes down in 2023.

Sharma seems to have bought his dream home at the perfect time. As for other homebuyers, buying a home is set to become more difficult, with no immediate relief in sight. **BT**

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